

Tata Consultancy Services

Precedent Transactions — IT Services

NSE: TCS · US\$ millions at announcement · as of deals announced Sep 2014 – Jun 2024

Fourteen IT-services acquisitions from 2014 to 2024 (Capgemini–IGATE, Atos–Syntel, Capgemini–Altran, Carlyle–Hexaware, LTI–Mindtree, Cognizant–Belcan and others), built from announcement press releases and filings: enterprise value, target LTM revenue and EBITDA, implied multiples, one-day premia for public targets, consideration and source for every row. Statistics by acquirer type and geography, the control premium relative to Project 3’s trading multiples, and an illustrative range for TCS.

What this is

How it is built

- Each row cites its announcement source; EV adds target net debt where only equity value was disclosed; EUR and INR deals converted at the announcement-date rate.
- Private-target metrics are approximate where the source gave rounded figures; medians and quartiles are used because they are robust to a single imprecise entry, and the count of observations is shown for every statistic.
- Premia are one-day to the unaffected close; two targets had run up on speculation and one merger was under common control, all noted in the table.
- The implied TCS range is labelled illustrative: no precedent target is comparable in size to TCS.

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Key outputs (live)

Precedent median EV / Revenue	2.6x
Precedent median EV / EBITDA	14.7x
Control premium vs trading comps (revenue)	41.4%
Deals in the set	14
Model status	MODEL OK

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Sources

Acquirer press releases and exchange filings at announcement (cited per row)
Target annual reports / 10-Ks for LTM revenue and EBITDA
Project 3 for TCS metrics and trading-comps medians

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Screen definition and how to read the deal set

SCREEN	
Sector	IT services, consulting and engineering-services providers with offshore or nearshore delivery
Period	September 2014 – June 2024 (ten years; long enough for a cycle, short enough that business models are comparable)
Size	Enterprise value US\$400m – US\$7bn at announcement
Control	Majority or 100% acquisitions and mergers; minority stakes excluded
Data basis	Deal value and target LTM metrics as disclosed at announcement; where the press release gave only equity value, EV adds net debt from the target's last balance sheet; EUR/INR deals converted at the announcement-date rate
Caveat	Several private-target revenue figures are approximate (press releases give rounded or 'expected' numbers). Multiples on those rows are indicative; the statistics use medians and quartiles, which are robust to a single imprecise entry. Verify against the cited source before using any figure in a client document.

TARGET FOR THE IMPLIED VALUATION (from Project 3)

TCS LTM revenue (US\$m)	28,627	Project 3, LTM to Jun 2026
TCS LTM EBITDA (US\$m)	7,748	Project 3
TCS net debt (US\$m, negative = net cash)	(3,020)	Project 3
TCS shares (m)	3,618	Project 3
USD per INR	0.010467	Project 3 (USD/INR 95.54)
TCS share price (INR)	2,200.80	12 Sep 2026
Trading-comps peer median EV/Revenue (Project 3)	1.8x	For the control-premium comparison
Trading-comps peer median EV/EBITDA (Project 3)	8.8x	

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Deal database from primary announcements · blue = as disclosed · black = derived

Announced	Acquirer	Acquirer type	Target	Target HQ	EV (US\$m)	LTM revenue	LTM EBITDA	EBITDA margin	EV / Revenue	EV / EBITDA	Public target	Premium (1-day)	Consideration	Source	Note
2014-09	Cognizant	Strategic	TriZetto	US	2,700	711	160	22.5%	3.8x	16.9x	No	n/a	Cash	Cognizant press release, 15 Sep 2014	Healthcare IT platform; EBITDA approx.
2015-04	Capgemini	Strategic	IGATE	US	4,040	1,269	310	24.4%	3.2x	13.0x	Yes		4.7% Cash (US\$48/share)	Capgemini press release, 27 Apr 2015; IGATE 10-K FY2014	Premium to prior close; ~20% to 3-month average
2016-03	NTT Data	Strategic	Dell Services	US	3,055	2,700	n/a	n/a	1.1x	n/a	No	n/a	Cash	NTT Data / Dell press release, 28 Mar 2016	Carve-out; revenue approx.; low margin legacy infrastructure
2016-04	Blackstone	Sponsor	Mphasis (60.5% stake from HP)	India	1,400	920	n/a	n/a	1.5x	n/a	Yes	n/a	Cash (INR 430/share) + op	Blackstone press release, 4 Apr 2016; Mphasis FY16 annual report	Implied 100% EV approx.; stake purchase with open offer
2016-10	Wipro	Strategic	Appirio	US	500	200	n/a	n/a	2.5x	n/a	No	n/a	Cash	Wipro press release, 20 Oct 2016	Salesforce/Workday cloud services; revenue approx. (2016E)
2018-07	Atos	Strategic	Syntel	US	3,400	924	250	27.1%	3.7x	13.6x	Yes		4.6% Cash (US\$41/share)	Atos press release, 22 Jul 2018; Syntel 10-K FY2017	Premium to prior close after a run-up; ~24% to 3-month VWAP. EBITDA approx. (27% margin)
2019-06	Capgemini	Strategic	Altran Technologies	France	5,650	3,300	n/a	n/a	1.7x	n/a	Yes		22.0% Cash (€14/share)	Capgemini press release, 24 Jun 2019; Altran 2018 annual report	EV = €5.0bn incl. debt; converted at 1.13
2021-03	Wipro	Strategic	Capco	UK	1,450	720	n/a	n/a	2.0x	n/a	No	n/a	Cash	Wipro press release, 4 Mar 2021	Financial-services consulting; 2020 revenue approx.
2021-10	Carlyle	Sponsor	Hexaware Technologies	India	3,000	850	n/a	n/a	3.5x	n/a	No	n/a	Cash	Carlyle / Baring PE Asia press release, Oct 2021	Secondary buyout from Baring; EV approx.
2022-05	Wipro	Strategic	Rizing	US	540	180	n/a	n/a	3.0x	n/a	No	n/a	Cash	Wipro press release, 5 May 2022	SAP services; revenue approx.
2022-05	L&T Infotech	Strategic	Mindtree (merger)	India	6,700	1,410	290	20.6%	4.8x	23.1x	Yes		- Stock (73 LTI shares per 1C)	LTI / Mindtree exchange filings, 6 May 2022; Mindtree FY22 annual report	Both under L&T control: not arm's-length; ratio = market, premium = 0
2024-01	Infosys	Strategic	in-tech	Germany	490	185	n/a	n/a	2.6x	n/a	No	n/a	Cash (€450m)	Infosys press release, 18 Jan 2024	Engineering R&D services; converted at 1.09
2024-05	Coforge	Strategic	Cigniti Technologies (54% + open off	India	440	220	30	13.6%	2.0x	14.7x	Yes	n/a	Cash (INR 1,415/share)	Coforge exchange filing, 2 May 2024; Cigniti FY24 annual report	Implied 100% EV approx.; struck near market
2024-06	Cognizant	Strategic	Belcan	US	1,290	800	n/a	n/a	1.6x	n/a	No	n/a	Cash and stock	Cognizant press release, 10 Jun 2024	Engineering services; revenue approx. (2023)

STATISTICS												
Maximum								27.1%	4.8x	23.1x		22.0%
75th percentile								24.4%	3.4x	16.9x		9.0%
Median								22.5%	2.6x	14.7x		4.7%
Mean								21.6%	2.6x	16.3x		7.8%
25th percentile								20.6%	1.8x	13.6x		3.5%
Minimum								13.6%	1.1x	13.0x		-
Count								5	14	5		4

Text entries (n/a) are ignored by the statistical functions, so EV/EBITDA and premium statistics are computed only over the deals where the figure was disclosed. Count shows how many observations each statistic rests on.

BY ACQUIRER TYPE AND TARGET GEOGRAPHY (median EV / Revenue)		
Strategic acquirers	2.6x	12 deals
Financial sponsors	2.5x	2 deals
India-headquartered targets	2.8x	4 deals
US / Europe targets	2.6x	10 deals

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Precedent multiples, control premium versus trading comps, and the implied TCS range

PRECEDENT MULTIPLES

	25th pct	Median	75th pct	Count
EV / LTM revenue	1.8x	2.6x	3.4x	14
EV / LTM EBITDA (disclosed deals)	13.6x	14.7x	16.9x	5
EBITDA margin of targets	20.6%	22.5%	24.4%	5
1-day premium (public targets)	3.5%	4.7%	9.0%	4

CONTROL PREMIUM: PRECEDENTS vs TRADING COMPARABLES

Precedent median EV / Revenue	2.6x
Trading-comps peer median EV / Revenue (Project 3)	1.8x
Implied control premium on revenue multiple	41.4%
Precedent median EV / EBITDA	14.7x
Trading-comps peer median EV / EBITDA (Project 3)	8.8x
Implied control premium on EBITDA multiple	67.6%

IMPLIED TCS VALUE PER SHARE (INR) — illustrative

Multiple	TCS metric (US\$m)	25th pct	Median	75th pct	Implied @25th	Implied @median
EV / LTM revenue	28,627	1.8x	2.6x	3.4x	1,428	2,026
EV / LTM EBITDA	7,748	13.6x	14.7x	16.9x	2,862	3,081
Current TCS share price (INR)						2,201

Illustrative only: every precedent target is a fraction of TCS's size and none is a like-for-like control transaction for a US\$80bn company. The range is shown to complete the football field (Project 5) and to quantify the sector's control premium; it is not a takeover valuation of TCS.

READING THE RESULT

- Precedent multiples sit above trading multiples for the same kind of business: buyers pay a control premium for synergies and for the right to run the asset. The gap between the two medians is the sector's typical premium; the public-target 1-day premia are low here because several targets (IGATE, Syntel) had run up on deal speculation, and one (LTI-Mindtree) was a merger under common control.

- Strategic acquirers dominate this sector and paid more than sponsors, consistent with synergies being real in offshore IT services (client cross-sell, pyramid cost savings).
- Multiples cluster around 1.5–3.5× revenue for mid-cap services assets; the outliers (TriZetto, Mindtree) had platform or scarcity value. A banker would show this dispersion to a seller before quoting a price.
- The data quality caveat on the Inputs sheet is part of the deliverable: precedent analysis from public sources always carries approximation in private-target metrics, and saying so is more credible than false precision.

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INDUSTRY SERVICES

Integrity checks · should all be TRUE

All EV / Revenue multiples positive	TRUE
EV / Revenue median within 1x–6x	TRUE
EV / EBITDA statistics computed on ≥ 4 disclosed deals	TRUE
Control premium on revenue multiple is positive	TRUE
Implied TCS range is ordered	TRUE

OVERALL

MODEL OK